wages increased approximately 15 percent through a corresponding decline in the income of landlords and entrepreneurs. In the short space of six months, hundreds of thousands of Cubans developed an immediate and lasting stake in the success of the Revolution."[10] Social services were vastly expanded, and made available free of charge or at very low cost. "Basic social services" that were cost-free included "schooling, medical care, medicines, and social security, but also water, burial services, sports facilities, even public phones." Rates for utilities and public transportation were slashed.[11]

Restructuring production into a viable, egalitarian economy, however, was a lot harder than the initial redistribution of existing resources. The problems were exacerbated by two factors that all such experiments have faced: capital flight, and social capital flight. In a capitalist economy, investment comes from private individuals or institutions (like banks) that invest their money based on where they believe a profit can be made. If a revolutionary government starts to limit the ability to make a profit – by raising wages or placing legal restrictions on businesses – capitalists will start to look elsewhere. They may place their money in foreign banks, or invest in enterprises overseas. In other words, capital flight.

Second, the formerly privileged classes, who generally have high levels of education, skills, business contacts, and other forms of what social scientists call *social capital* often decide to flee the country themselves when they see their privileges evaporating. The institutions (like private schools, maids, and fancy restaurants) and the luxury items that their status depends on are no longer available. Their comfortable lifestyles are threatened or undermined. They may have relatives or friends abroad, they may even have attended private school or college in the United States. They have the resources to leave – and many of them do. Half of Cuba's 6,000 doctors, for example, emigrated in the years immediately following the Revolution.[12] The country loses their *social capital* – the very skills, education, and contacts that it most needs to restructure its economy.